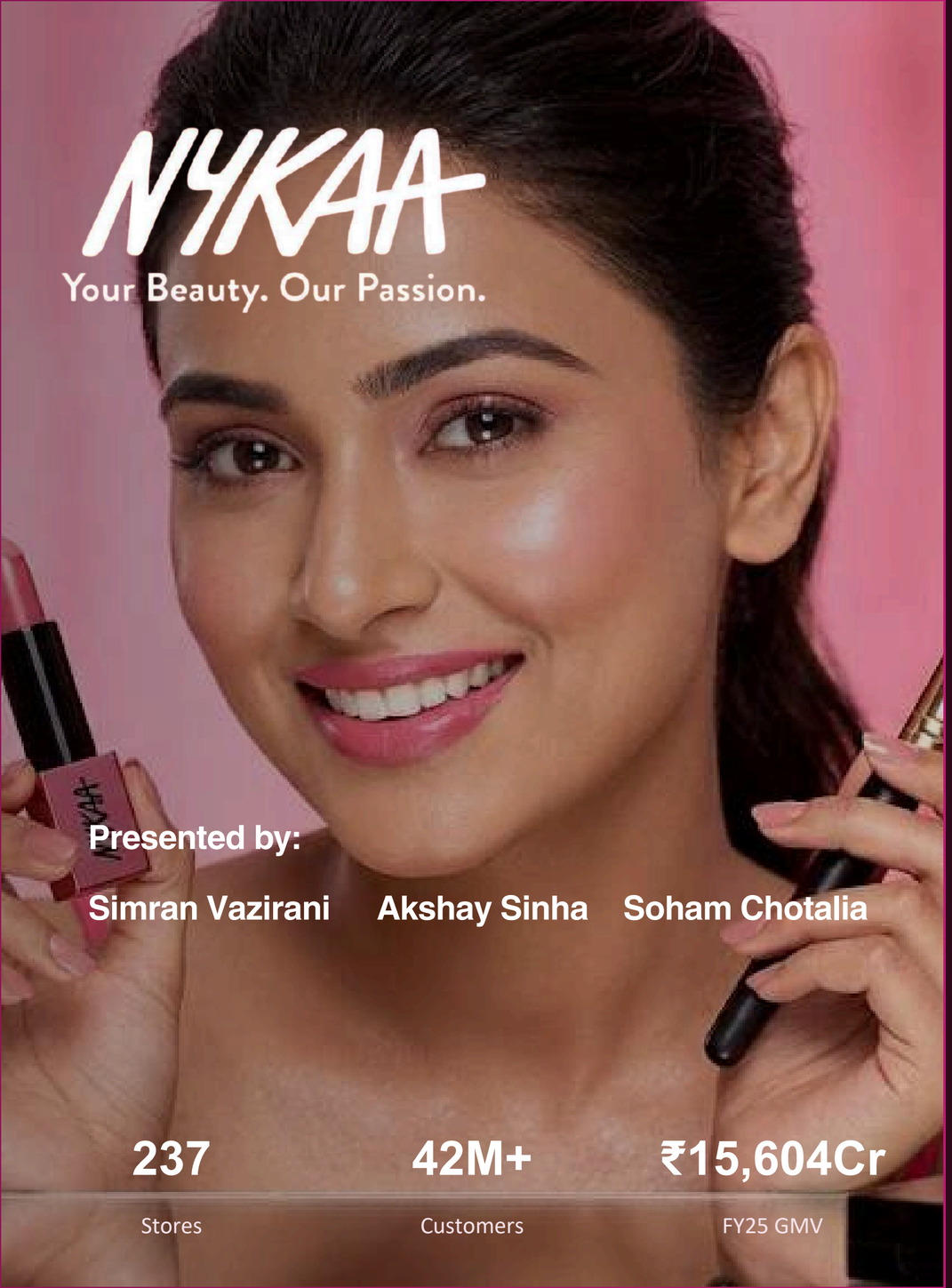


Product startegy case

Bridging the Phygital Gap

A Product-Led Strategy to Unify Nykaa's Digital & Physical Retail

Presented by:

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237 Stores

42M+ Customers

₹15,604Cr FY25 GMV

PROBLEM STATEMENT

Nykaa’s app and physical stores operate largely in silos, creating a fragmented customer journey and limiting personalization and omnichannel potential.

EXECUTIVE SUMMARY

• Beauty shopping is naturally phygital, with customers discovering online but validating products in-store before purchase.
• Despite 237 stores and 42M+ customers, Nykaa’s app and physical stores operate in silos, creating a fragmented customer journey.
• The opportunity is to build a connected omnichannel ecosystem linking discovery, trial, and purchase across digital and physical touchpoints.
• We propose three pillars: Nykaa Store Mode, Endless Aisle + Scan, and Unified Privé 2.0 to integrate identity, inventory, and loyalty.
• This strategy will increase cross-channel CLV, improve in-store conversion, and strengthen loyalty among hybrid shoppers.

Market data

THE BROKEN CUSTOMER JOURNEY



KEY FRICTION POINTS

Disjointed Customer Journey

A user's online profile, wishlists, and purchase history do not influence or enhance their in-store shopping experience. The context is lost the moment they walk in.

Inventory & Discovery Gaps

Customers cannot check real-time store stock from the app. Conversely, in-store shoppers are limited to shelf stock and miss the app's "endless aisle."

Fragmented Loyalty & Data

Data gathered from online browsing and offline purchases are not unified. No single view of the customer to power cross-channel personalization.

MARKET & BUSINESS DATA

73%

of shoppers use multiple channels during their journey (HBR Study)

4% + 10%

More spend: 4% more per store visit & 10% more online, omnichannel users

23%

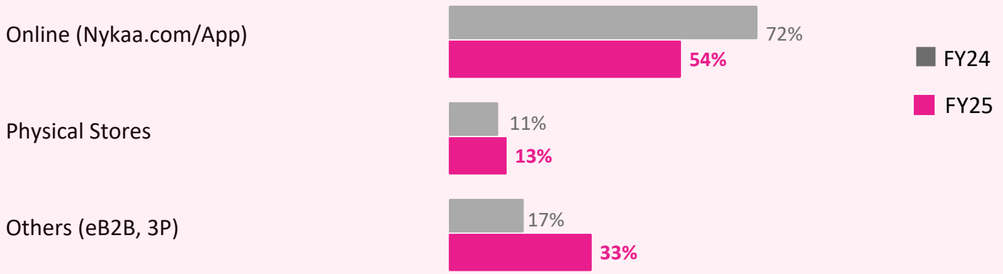
Research, compare, save products online

More repeat trips within 6 months for omnichannel shoppers vs. single-channel

₹31.2B

India BPC market in 2025, growing to ₹48.7B by 2034 at 5.08% CAGR

NYKAA CHANNEL MIX SHIFT (FY24 → FY25)



Hybrid Shopper Persona & Journey



KIARA

28, Digital Marketing Manager

Mumbai • Tech-Savvy • Time-Poor

Skincare | Makeup Tutorials

KEY FRUSTRATIONS

- **Disconnected Wishlist:** Can't find saved items when visiting the store.
- **Blind Inventory:** Visits store and finds out the items are out of stock which she saw online
- **Generic Offers:** In-store staff doesn't know her skin type or history.

The Broken "Phygital" Journey

Physical ● Digital ●

1. DISCOVER	2. PLAN	3. VISIT STORE	4. DECIDE	5. PAY	6. RETURN
"Love this highlighter! Need to save it."	*"Added to wishlist. I'll check it at the mall."*	*"Wait, I can't find my wishlist here. Which shade was it?"*	*"They don't have the size I saw online. Staff is busy."*	*"Long queue creates frustration."*	*"Shade is wrong. Can I return via app?"*

Unmeet need:

Kiara's excitement peaks during **Digital Discovery** but plummets during the **In-Store Experience**. The lack of data continuity means she treats Nykaa as two separate brands rather than one ecosystem. The "blind" store visit leads to lost sales and lower CLV.

Competitior Landscape

TIRA (Reliance)

Most Dangerous Threat

PHYSICAL STORES

- 17 experiential flagship stores (vs Nykaa's 237)
- 4,300 sq ft flagship at Jio World Drive, Mumbai
- Smart mirrors track in-store product engagement
- In-store skin analyser for real-time personalisation
- Tira Men, Tira Mini (Tier 2), Tira Pro (B2B salons) planned

DIGITAL / APP

- AI beauty bot + Look Studio + virtual try-on
- Fragrance Finder India's first digital scent tool
- Beauty quizzes personalise product recommendations
- Integrated with Ajio Luxe for fashion cross-sell
- Digital POS syncs real-time with customer app profiles

LOYALTY PROGRAM

- Tira Treats fully omnichannel from day one
- Points earned & redeemed in-store and online identically
- Tira Concierge tier for premium high-spend shoppers
- Exclusive early-access events for loyalty members

DATA & AI

- Every store acts as a data-collection hub
- Jio ecosystem data: telecom + retail + entertainment
- Stylist inputs in-store → app recommends online instantly
- Reliance logistics + JioMart supply chain integration

KEY LESSON

Tira was architected as phygital from day one. Data flows store→app→store in a closed loop. Ecosystem breadth (Jio) means personalisation goes beyond beauty.

▲ Only 17 stores vs Nykaa's 237 distribution moat still belongs to Nykaa

SEPHORA

Best Store Mode Lesson

PHYSICAL STORES

- 3,000+ stores globally; 6 India stores (premium malls)
- Color IQ: skin-tone matching technology at counters
- Fragrance IQ: scent profile builder in-store
- Beauty studio for makeovers + paid masterclasses
- Flash Beaute: express services in 15-min format

DIGITAL / APP

- Store Mode: geo-detects exact store, surfaces floor map
- In-store exclusive discounts auto-surface on app entry
- Post-visit push: recommends products tried in-store
- Barcode scan → ingredients, reviews, purchase history
- Virtual Artist: AR try-on for makeup shades

LOYALTY PROGRAM

- Beauty Insider: 3 tiers (Insider / VIB / Rouge)
- Points redeemable for products, not just discounts
- Birthday gift; exclusive Rouge early-access events
- Community hub: reviews, looks, questions built into app

DATA & AI

- Purchases, scans, wishlists build unified beauty profile
- Personalised product feeds driven by skin quiz data
- Post-store-visit email triggered by in-store browse data
- Holiday online sales: 43% (2019) → 58% (2022) post-integration

KEY LESSON

Ambient geo-awareness works; forcing a mode that 'hijacks' the app backfires. Redesigned as a pull (opt-in tab), not a push users choose when to engage.

▲ Design rule: 'pull not push' — Store Mode = an optional tab, never a redirect

NIKE (omnichannel experince)

Best Loyalty Analog

PHYSICAL STORES

- Nike Live: membership-first stores, stock rotates weekly
- Scan-to-try-on: scan barcode, staff delivers your size
- Instant checkout: scan item in app, pay & walk out
- Unlock Box: vending machines scan QR to claim freebies
- Reserve in app → pick up at nearest store (since 2018)

DIGITAL / APP

- Geofenced Retail Home: exclusive content near any Nike store
- Member-only product drops unlocked only via app in-store
- Activity rewards: running data earns loyalty points
- App is the passport in-store experience is worse without it
- Nike DTC > 40% of total revenue; app drives physical visits

LOYALTY PROGRAM

- NikePlus: free to join, zero spend threshold to access perks
- In-store unlocks exclusive to members (products + experiences)
- Reward for activity, not just purchase — run to earn
- Early access to launches gated by NikePlus membership

DATA & AI

- Nike Live stock rotates based on local member data weekly
- Purchase + activity data personalises both app and in-store
- Member profile shared with in-store staff at POS
- Geo-fence triggers hyper-local offers when near store

KEY LESSON

App membership = passport to a categorically better in-store experience. The app is the reason to visit the store, not just the receipt for having gone.

▲ Nike DTC > 40% of revenue — membership makes the physical visit better

STARBUCKS BENCHMARK (Gold Standard for Loyalty): 34.6M active members • 59% of US sales from Rewards members • Members spend 3× more • 5.6× higher visit frequency • Stars earn at transaction moment channel-agnostic • Deep Brew AI shows cohort-personalised offers (15–20% higher redemption) • Lesson for Privé: loyalty must make the physical visit BETTER, not just record that it happened

The Phygital Solution

THE PHYGITAL LOOP

01
Enter Store
Geo-fence → app activates

↓

02
App Activates
Wishlist + advisor booking

↓

03
Scan + AR Try-On
Wishlist AR overlay live cam

↓

04
AI Skin Quiz
Exact shade match + offer

↓

05
Purchase
AI coupon auto-applied

↓

06
Glam Pass
Replenishment auto-tracked

3 STORE FORMATS UNIQUE IN-APP EXPERIENCE

Nykaa Luxe

Unified Prive

Premium · High-Touch · Appointment

- Book a store visit in advance; staff get your skin details before you arrive
- Walk in and the app detects you no waiting, someone's there to help right away
- AI-personalized offers per cohort visible during checkout
- Try on products virtually on a mirror screen and compare options side by side
- Cross channel prive' points sync

Nykaa On-trend

Endless Aisle

Discovery · Gen-Z · AR-First

- Scan a code in-store and instantly see your saved wishlist products on your face through your phone camera
- Like how a look turned out? Post it directly to Instagram or Reels without leaving the app
- Scan any product on the shelf to see how real customers styled it and what they thought of it
- Complete small in-store challenges on the app like scanning products or trying looks to earn points
- Answer 3 quick skin questions at a kiosk and walk away with a ready-made routine suggestion

Nykaa Kiosk

Store mode

Convenience · Quick-Commerce

- Geo-fence store mode activation- Pick up what you need, scan it yourself and pay through the app no billing counter, no waiting
- Get a notification when a product you've run out of is back in stock at a kiosk near you
- Your subscription discounts apply automatically at checkout no searching for coupon codes
- Order a product while you're commuting and pick it up from the nearest kiosk within 20 minutes
- Wishlist + advisor booking in-store

EXTENDED VISION — SKINCARE CULT + GLAM PASS 2.0

Skincare + Haircare Cult

AI Companion · Routine Tracker · Community

Smart Replenishment
Moisturiser ~90d, sunscreen ~45d, nudge before run-out

AM/PM Routine Stack
Skincare + haircare tracked; streak badges + consistency score

Seasonal Recalibration
Skin quiz resurfaces every 3 months for seasonal adjustments

Cult Community
30-day glow-up challenges, leaderboard + rewards; cult badges

Nykaa as long-term beauty companion — beyond the transaction

Glam Pass 2.0 Replenishment Engine

Subscription · Personalised · Flexible

AI Usage Tracking
Auto-delivers every 60–90 days based on estimated consumption

Store ↔ App Loop
Buy in-store, app tracks usage, reminds at ~80% consumed

Member Perks
15% off replenishments + exclusive shade previews pre-launch

Flexible Cadence
Pause, swap SKU or delay anytime, personalised nudge timing

Predictable LTV, reduced churn, high ecosystem retention

PROTOTYPES





Sucess Metrics & Feature Priortization

NORTH STAR METRIC

Cross-Channel Customer Lifetime Value

Revenue from customers who use BOTH app + physical store in a rolling 12 months

L1 METRICS - PRIMARY KPIs

Store-Mode Activation Rate

Target: >25% of in-store app opens activate Store Mode in 3 months

How: Geo-fence trigger log / manual activation events

Cross-Channel Purchase Rate

Target: Users who shop online after an in-store visit within 14 days

How: Attributed via geo-fence + purchase timestamp delta

#	FEATURE	PILLAR	R	I	C	E	SCORE
1	Check in-store CTA on product pages	ENDLESS AISLE	9	7	9	2	284
2	Cross-channel Privé points sync	UNIFIED PRIVÉ	8	9	8	4	144
3	Geo-fence Store Mode activation	STORE MODE	8	8	8	4	128
4	Post-visit push + purchase CTA	STORE MODE	8	6	8	3	128
5	Behavior rewards (reviews, referrals)	UNIFIED PRIVÉ	7	7	8	4	98
6	Scan-to-discover (reviews, shades, AOV)	ENDLESS AISLE	7	8	7	5	78
7	Wishlist + advisor booking in-store	STORE MODE	7	7	7	5	69
8	Reserve & Try (online → in-store)	STORE MODE	6	8	7	6	56
9	"Not here? Order now" in-store	ENDLESS AISLE	6	9	7	6	63
10	Real-time inventory + Nykaa Now ETA	ENDLESS AISLE	7	8	6	7	48
11	AI-personalized offers per cohort	UNIFIED PRIVÉ	6	9	6	8	41
12	Luxury Experience Booking (in-store) NEW	UNIFIED PRIVÉ	4	10	6	7	34
13	Glam Pass 2.0 subscription	UNIFIED PRIVÉ	5	8	6	8	30

Wave 1
Launch (0–3 months)

Wave 2
Scale (3–6 months)

Wave 3
Deepen (6–12 months)

Guardrail & Risk Monitoring Metrics

Metric	Target
Inventory accuracy (app vs store stock)	>95%
Store Mode exit rate	<20%
In-store advisor wait time	<3 min
Push notification opt-out rate	<5%
Location permission rate	>50%
Product scan adoption (of store visitors)	>15%
Endless aisle fulfillment failure	<2%
Privé offline sync latency	<2 min

THE VISION

One Nykaa, Every Channel.

Your beauty profile travels with you, from app research to in-store trial to doorstep delivery. Every touchpoint knows you.

IMPLEMENTATION ROADMAP

Phase 1

0–3 Months

Prominent inventory check CTA on product pages
- Privé offline point sync via QR code at POS
- 50-store pilot: Store Mode geo-fence activation

Phase 2

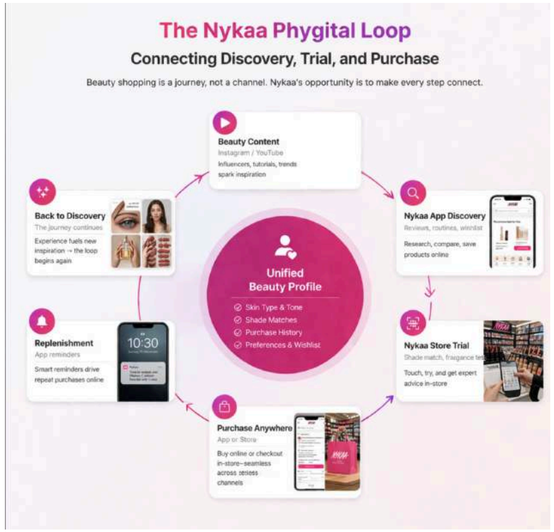
3–6 Months

Store Mode full rollout — advisor tablet app
- Post-visit push notification engine live
- Scan-to-cart + Endless Aisle feature launch

Phase 3

6–12 Months

Unified Privé 2.0 — behavior-based points + AI personalization
- In-store booking system for beauty consultations
- Cross-channel attribution reporting dashboard



PROJECTED IMPACT

+30%

Cross-Channel CLV Uplift

McKinsey: omnichannel shoppers spend 13% more in-store, 30% more online

+23%

Repeat Purchase Rate

HBR: 23% more repeat trips within 6 months of omnichannel experience

+15-20%

AOV for Omnichannel Users

Nykaa data: content consumers have 15% higher AOV; omnichannel compounds this

+40%

Privé Tier Upgrade Rate

Behavior-based earning + offline perks drives engagement (Starbucks model)

13% → 18%

Physical Store GMV Share

Stores growing 31% YoY; Store Mode accelerates app-driven footfall

"The omnichannel opportunity is not a feature request — it is a revenue multiplier. Nykaa has 237 stores, 42M customers, and the trust. The bridge just needs to be built."